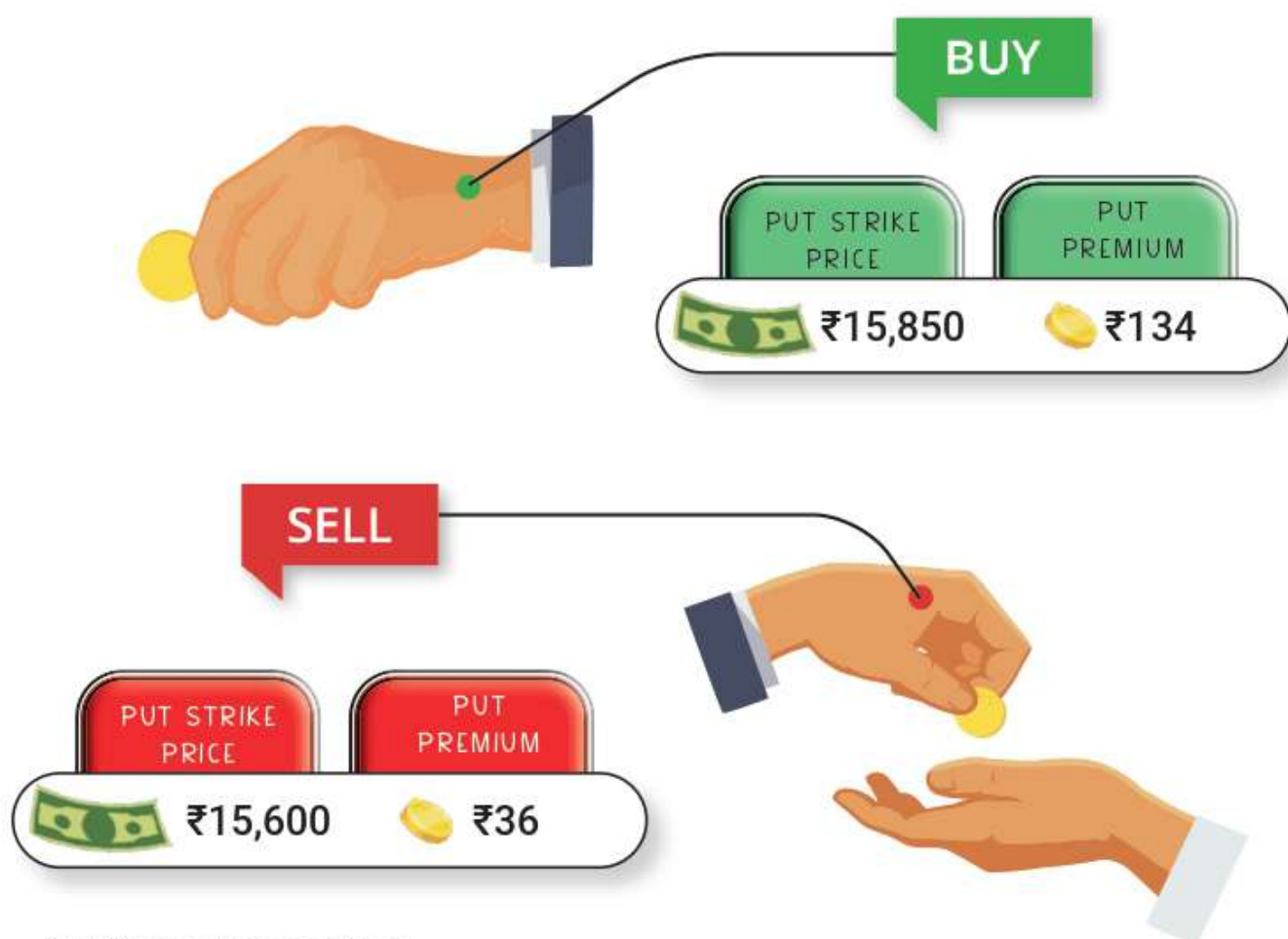


For instance, we buy a put option at strike price of ₹15850 for ₹134 for an asset with current market price a ₹134 and sell a put option contract for ₹36 at strike price of ₹15,600



Netting the two positions.

COST OF THE STRATEGY = ₹134 – ₹36 = ₹98 THIS IS OUR NET INVESTMENT IN THIS STRATEGY.
MAXIMUM LOSS = Net premium = ₹98
BREAK EVEN POINT = Strike price of long put – Net premium = ₹15,850 – ₹98 = ₹15,752
MAXIMUM PROFIT = Difference in Strike prices - Net Premium = (₹15,850 – ₹15,600) – ₹98 = ₹152

If the price is above ₹15,752, we will be incurring losses. At prices below ₹15,752, we will start making profits. But our profits will also be capped at ₹152.